

that threat is out there. And I'm not even saying it's high probability. Not at all. Like, I really don't even view it as high probability. But it's not it's not zero. It's not three percent. It's not five percent. It's higher. Could the market's biggest blind spots put your retirement at risk? Investors and advisors are focused on AI, inflation and conflicting headlines. But what if the real risk to your portfolio is something the market isn't seeing? You can join Bulwark Capital, Zach Abraham, for his free market blind spot webinar July 23rd at 3.30 Pacific.

At our webinar, we'll expose blind spots investors may be overlooking threats to your portfolio in the months ahead, plus a full reveal of how Bulwark is focused on risk management. Always looking for opportunities to lower your risk, lower your cost and give your retirement as much upside as possible. Have your questions answered during this live and free webinar. Register today at knowyourriskpodcast.com for the market blind spot webinar happening at 3.30 Pacific on July 23rd. And you can also subscribe to Zach's daily podcast on YouTube

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professional. Welcome back to another edition of the Daily Dots. You're on a Thursday, July 16th Chase Flying Solo with you while Zach works hard on the links. I'll go through the markets, of course, and then I got just a few things to talk about. I might spend a little extra time on markets because they're getting interesting. S&P closed the day down about half a percent. SpaceX closed the day down another three percent. You're down to 131. This is one, two, three, four, five. The five straight down days, eight of the last nine days have been read. Again,

what that is essentially is the street front running, what is obviously going to be a deluge of insider selling. I don't know what to say. This was really easy to see coming. Given the way this was structured that you could get a pop at first and then you would have maybe a pop for index inclusion, but because of how much supply was going to come behind the IPO,

to me, of course, the street was going to end up front running a bunch of that. Now, how much it gets front run before the actual selling? How much does the selling actually push you down given how much you're going to front run going in? That's going to be the hard part, but that, you know, you just look at global liquidity, it contracting, obviously not going to be great for a 2 trillion company that's doing 20 billion revenue. The crazy long duration bets

typically don't do wonderful during liquidity pickups or flat periods or especially down periods. We're going to flat period that could become a down period and on a year-over-year basis, it's starting to really dry up. I think people may see the memory names that went crazy and thought, well, liquidity can't be that bad, but that was more an earnings story. Their earnings were just viciously being re-rated higher. They at least had something to go on other than pure fantasy, whereas 2 trillion on 20 billion of revenue is obviously pure fantasy and hype,

and frankly, somewhere close to criminal activity when it comes to talking about where people thought their numbers were going to be in three, four, five years.

On to the other markets, though. Equal weight was actually up 1% today, so that is very interesting just to see a day where you have S&P down a half

percent. The Q's are down 1.65 and have RSP equal weight up 1%, just a massive outperformance. Now, unwinding the day before was basically the opposite. Today, you had Mag7 down 1.3 and we'll talk a little bit more about that. Normally, when we get these memory down, chip down days, you have been getting Mag7 up because this means theoretically less money and more margins on that capex,

but today, bad news out of Google that upended that. The other side of this trade that I've talked about here in the last few weeks was I thought we were coming into a regime where you would get, if you had some problems in memory and chips, you could get some decent moves and software, and we continue to see that. Now, the whole software sector ETF was kind of flat today. I mean, it outperformed, but it wasn't great. But a lot of the individual names we've talked about are still doing well. The dollar was up 0.25 today, and that led to all-world XUS being down a little

over one. As far as Mag7 stuff went, you had Apple up another almost 2% been really, really strong lately, but you had Amazon down to Google down 4.4 as they're struggling to roll out their newest AI model, having some problems, and that's why they took the hit. Meta, which looked like it wanted to break out, gapped up a few days ago, down two and a half today. Still kind of holding that breakout, but I just struggled with this one. I get the bull case and the bear case both. I find the bull case to be very interesting on Meta, but then I think about their capex,

and then I don't want to buy it. But Microsoft is one of the names that I've liked in the software space, up another 1.4, kind of the highest you've been since early June. Nvidia down 2.4 as chips struggled today, although Nvidia kind of keeps doing better than kind of the broader chip index in Tesla down a little bit. Yield's not worth mentioning, super flat. Bitcoin's at 64,000. That was looking decent down the last couple of days. Oil down 0.7, the December contract down 0.4, so essentially flat there. Gold down 1.76, silver down 2.8, gold miners down 3.5%,

and that is a new low. It's a new low in this move for gold miners, new low in this move for silver, and a new low in this move for gold. So a new low across the board in the precious metals complex, even platinum and palladium that had kind of perked up a little bit, getting back looking

towards the, looking kind of like, more like they were just having a little bit of a bear flag all of a sudden, even copper down. And the copper to gold ratio, that's something worth mentioning. The copper to gold ratio has been really strong lately, which is A, inflationary, B kind of shows

liquidity, liquidity cycle, not a great spot. That's been interesting. Plus, you know, just the demand from, from, you know, business, you know, from industry has been relatively strong, too.

Front month VIX up about 2.5%, nothing crazy, but, you know, at least not down for the day. The DRAM ETF, the memory ETF down 8.8%, and SMH, the semiconductor ETF down 3.7. And on that, you're now in a 15% drawdown for chips and a 35% drawdown for memory. And that is in less than a month. And memory and the Kospi, the Korean stock market, those peaked on the same day, which, you know, not particularly surprising. And the Korea Korean market is in a 25% drawdown. And that's, that's in like three weeks. That's a nasty drawdown for three weeks. But that

it was as obvious, you were getting to a point where, you know, things were going to, things are going to get interesting whenever you have these 10% moves almost every day. And everyone's into three X ETFs for the memory companies or for the Korean market. And this is, this move has been so bad in Korea that people were handing the numbers and said, over 3% of the adult population in Korea have been margin called, which is mind blowing. And so they basically took this incredible move in their stock market. And they, they just levered

it up and put it all on memory stocks, memory stocks had a drawdown and they got blown up, just crazy. But that said, Korea still having an incredibly year because the position they started this drawdown in was, was so strong. But I think that's it. Well, I'll go through talk about some of these software prices. So Adobe up another 4.8% a new hire for the move above the 50 day moving average for the first time since early June, you had, you finally getting some weakness in, in biotech. So I'm kind of, kind of trying to

lean into that just a little bit as a time, if it's, if it's going to finally slow down, if you're seemingly going straight up every day. DocuSign is another name we've liked that was up over 4% starting to look pretty decent on the

chart. One of our favorites that we, that we actually just added down on the day, but has looked really nice of late kind of fighting the 200 day moving average right now is toast. Those are the biggest ones from, from single aims, I think I wanted to mention, and despite the fact that you had,

you know, oil down a smidge today, you had, you had a lot of the energy equities doing well today to go back to, you know, equal weight being up 1% while we keep their down almost 2%. Like you had to have, you know, the health cares and the energies of the world kind of picking up the slack and they have the kind of broadening out has been relatively decent of late. Mac 7 stuff can't really make new highs. Obviously finally got, you know, the chip stocks that were holding the whole world up, rolling over, but a lot of other

stuff's picked up to kind of help step in and make up for that. One thing I wanted to talk about real quick was mortgage rates. Those kind of hit a new high, you know, going back a few months now, almost a year, I think it is 6.5% above 6.5%. As notable in, you had, you had some, some home sales, pending home sales come out today. The data was really rough.

This stands out to me for a couple of reasons. One, obviously not great for the economy whenever housing is in bad shape. And another is, I think it's easy to forget, but if you go back to the weekend, the war began, the now almost five month old war, somehow war in Iran. If you go back to that, you were kind of hitting new lows on, on like the 10 year and obviously in mortgage rates and the spread was compressing because of some of the Fannie Freddie reforms that they had put in. So just to go from like, you finally were starting to get this like real move higher

and in activity and real estate, and then you launched an inflationary war straight down from there. Obviously, we got a nice little bump when it looked like the war was over, but then now that it's not, you kind of right back down. Along those lines, you know, I talked about, I can't really talk about this show right now, but hey, I thought, I thought at July rate hike was possible. Then we got a super cold, I would say kind of just leadingly inflation print that kind of snuffed that out. So you're only at a 10% chance of a, of a July rate hike right now,

but you're basically priced in fully between now and October. And you know, if you think about it, October's really not that far away. I still think even though it's sitting at 10%, that July is not, not impossible. You're basically two weeks out. That's, that's, you know, 13 days away. Obviously depends on what happens with the war. If that's, you know, over again, this weekend or whatever, then sure, like, there's no point in hiking in July. But if we have oil, keep creeping higher, gasoline diesel, keep creeping higher, and you know, diesel's back

above 5 a gallon nationwide, like that's going to put a lot of pressure on that next print. And because you had such a good print this last month, that, you know, month over month base effect, you know, you can have another one was like 0.5% months. And for the, for the July data, if, if energy keeps going here, because energy is going to spill over and everything else. And you had some one-offs that really flatter that number for June that aren't going to repeat. That's one of the,

what's one of the important things to look at when we kind of, you know, tear apart inflation that data is like, which of these is like a trend that can repeat and which of these are sort of one-offs and some things reset annually, things like that. And this was kind of clearly a few one-offs. And, and for once, if you go look at kind of median and mean data, it was hotter than the headline data because of those one-offs that kind of flattered that number, like I mentioned. So, you know, two years have kind of cooled off a little here,

the dollar to a degree is cooled off because of that, that June data. But, you know, you just kind of take a hard look at what's going on in the world other than housing. And there's just a lot of inflation out there and there's a lot more to come, you know, down the pipeline. So, I would be careful with a lot of these

prognostications that we're about to have a really great bond bull market and we're not going to get any rate hikes. In fact, there's still people calling for rate cuts this year. That is very difficult for me to, to see at the moment. But that's going to be interesting to watch one forward. I do applaud people, you know, put themselves out there saying, hey, it's down to buy bonds and

we're going to have rate, rate cuts and definitely no rate hikes because it's a bold call. And I like, I like when people make bold calls, I'll say that.

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in the last 24 hours. But the big things for me is I think people are forgetting that you know, the straight forward moves can be turned on any moment, which means it's not as big a crisis as losing infrastructure. Some infrastructure may take six months, two years, whatever to kind of get back online, whereas the straight being closed can be open tomorrow. So, if we keep escalating, you can end up in a situation that is much worse than just a close straight. You know, if AppCake gets hit by 10 missiles, and Yambu gets or just, you know,

Babamandab, which is being very actively threatened all of a sudden, gets closed. If Fujiara were to get hit, not just blockaded, but hit, and they're kind of under a missile blockade at the moment, we've seen a lot less of the shuttling of oil for the, well, for anybody, but, you know, the UAE especially. So, to have the straight go back to being, you know, forget 50% closed or 30% closed, go back to more like 80, 90% closed for petroleum flows. You're right back into a world where you could be looking at, you know, shortages, you know, before long. Now, that may obviously be

product shortages because products are in much shorter supply than crude itself. And that's kind of obvious with crack spreads being somehow 70. And you have, you know, we're seeing refiners kind of keep hitting new highs almost every day at this point. You're going to have pretty blockbuster earnings I would expect out of the refiners, probably the producers that do the refining to the integrated folks that do a lot of refining are probably going to have pretty incredible earnings. Question is, is it going to be a one quarter thing, a two quarter thing,

or is that going to last a while? That's going to have a lot to do with both Iran and the war between Russia and Ukraine. I don't think, I don't think, this whole time I thought that Russia-Ukraine thing hasn't gotten enough credit in oil markets. It's like everyone's just staring at the gulf and just kind of saying, well, it's going to be open in two weeks. So we're going to be okay. And meanwhile, I, you know, a half a dozen tankers get hit every day of the Russians, forget this, forget the straight-up form moves. And at least, there's at least one refinery hit

every day to the point where it looks like they're going to have to shut in more production again in Russia. So Russian production is like, that's getting very, it's getting very problematic. Now, in a way, it's kind of supportive of crude and that they're exporting it, but at least for the moment supportive, but they're also going to have to, you know, lower their production and they're going to have to import, which that is not great for the price of products, obviously. But just keep that in back of your mind. Like,

if this does escalate, let's say, you know, the first couple of times the president threatened the power plants and infrastructure, obviously, he did

not follow through. But let's say he does this time. And the obvious retaliation from that is the Red Sea gets closed and maybe either Yambu or Fujera or Appcake or something like that gets, gets hit to the point where, or, you know, just a bunch of production, you know, sites, like actual, you know, offshore platforms, things like that. Then you can be in a situation where the effect of supply and demand picture is,

is significantly worse than it has been at any other, any other point during the war. Obviously, that's nowhere near the price. It's nowhere near positioning. It's nowhere near sentiment. It's just a, it's bizarre to live in a world where that threat is out there. And I'm not even saying it's high probability. Not at all. Like, I really don't even view it as high probability, but it's not, it's not zero. It's not 3%. It's not 5%. It's higher. And that even, even that, even as 8% chance of those things happening, clearly, in my opinion, not in any

of these prices, it's not in the positioning. It's not in the sentiment, which means if it worked to happen, then the gap you have to put in would be severe. You're talking, you know, limit up kind of stuff and energy markets, which would become its own problem for, for fixed income, for, for FX markets, kind of you name it, right? And that the destabilization of that, the macro destabilization of that, we just saw Korea, you know, 25% down in three weeks, just boom, and because of leverage. Well, if you don't think people are leveraged in, you know,

equities right now in certain, you know, trades and equities and certain relationships between factors and certain, you know, relative value trades, not just in treasuries, but in different equity markets, like the leverage, the leverage that's out there, a lot of it is kind of under the surface. You can't really see it. And but what, what gets out the highlighter and shows it to you, it makes it glow in the dark, would be something like a, you know, oil's up, you know, 18% in, in two days or something, you know, things like that. Obviously, the price of the pump

spiraling higher quickly has its own host of issues that it brings, but for consumption for, you know, basket of equities tied to how much money like regular people get to spend. And obviously, let's say this terrible scenario plays out, Congress probably comes riding to the rescue with an

inflationary stimulus check bill to help people pay for gas that is running short, you know, like, it's easy to picture a very difficult scenario. And again, this is just, it's just in the price of nothing. It's, it's like a, it's like a risk that doesn't

exist to markets or market participants. Again, I'm not saying it's an 80% risk or 60% risk or even a 40% risk. I just know that it is one. And I'll just leave you with that something to keep the back of your mind. And I just posted a really good quote from, I was reading a really good book from Ed Thorpe, his autobiography, and he talked about, if you want to know, like, if you have too much leverage, basically, what's like the worst thing that can happen in your portfolio? Can you survive that? If the answer is no, then you have too much leverage on go,

go take some off. And I think if, if the average portfolio were to be like, all right, will we be okay with our positioning, with our leverage, you know, if, if, if Yanbu and Fujairi get taken offline over the weekend, the answer would be a resounding no for almost every portfolio, obviously for the, the, the giant short position we see in Brent crude, right? Like all these kinds of things. So just something to keep in mind, but be back with more tomorrow and I may be flying solo again tomorrow. I'm not sure we'll see how that goes. But until then,

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